Iowa Brandy Sales Analysis

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Scenario

As the Iowa Alcoholic Beverages Division, we examined the Brandy category across seven subcategories (American Grape, Imported Grape, Miscellaneous, Apricot, Blackberry, Cherry, and Peach Brandies) to find market strengths, weaknesses, opportunities, and threats.

From over 52 million data points that were retrieved from the Iowa Alcoholic Beverages Division Liquor Sales Database(2014-2015), 2.7 million Brandy-Specific data points across 163,667 transactions were examined to determine where brandy is performing well, where it is vunerable, and where there are opportunities for growth.

Brandy Summary Statistics 2014-2015

Brandy Sub-Categories

7

Total Revenue

$15.2M

Average Bottle Price

$12.03

Bottles Sold

1,581,213

Transactions

163,667

Vendors

42

Counties Served

99

Active Stores

1,288

Top Account Revenue

$304,694

Top Account

Central City Liquor, Inc.,Des Moines

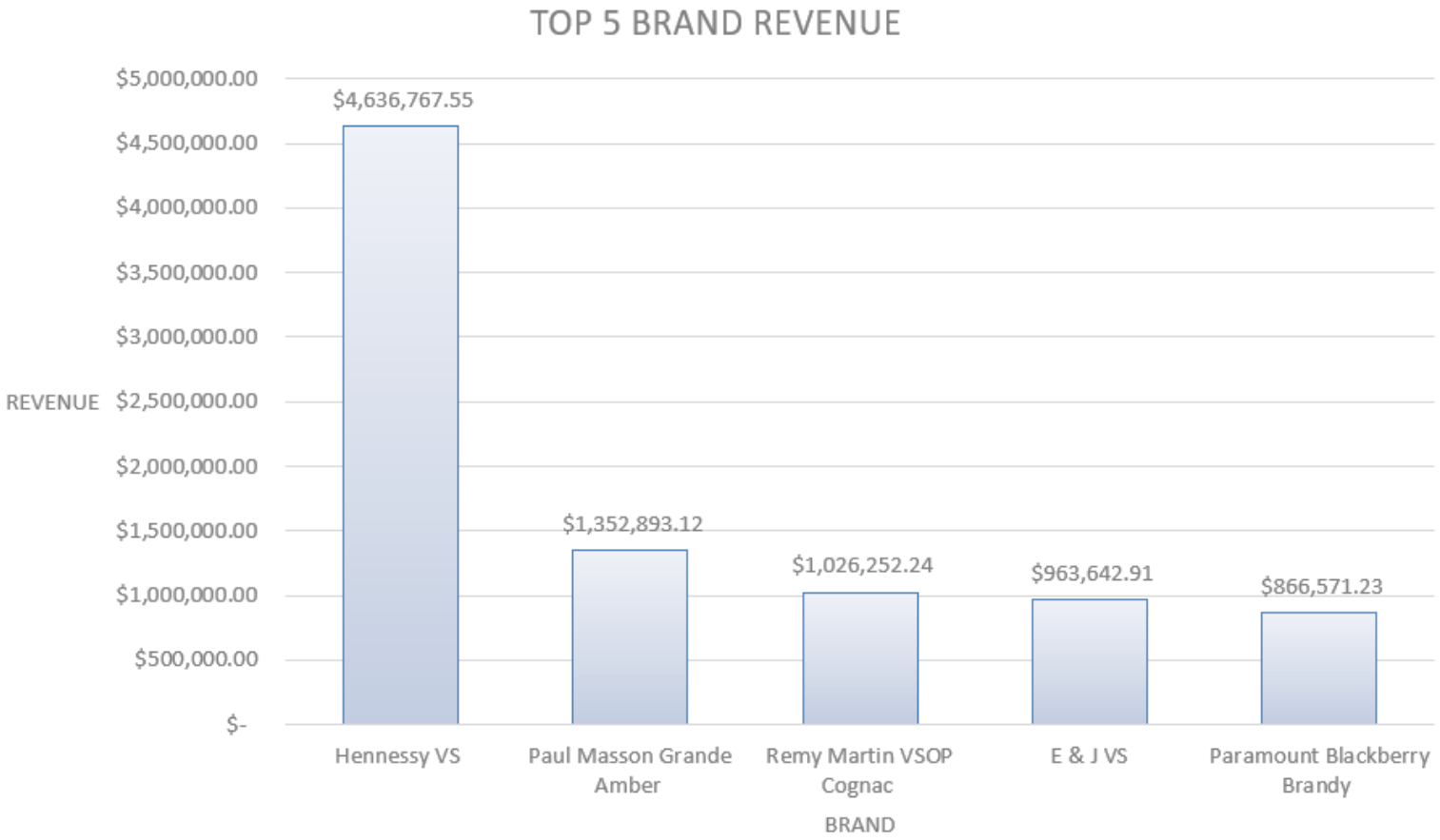
Strengths

Top Brands by Revenue

Hennessy VS – Most revenue generated at $4.6M

Paul Masson – Most purchased. Appears in 19,341 orders.

Top 5 brands by revenue – 58.3% of the total Brandy revenue of $15,164,601.39



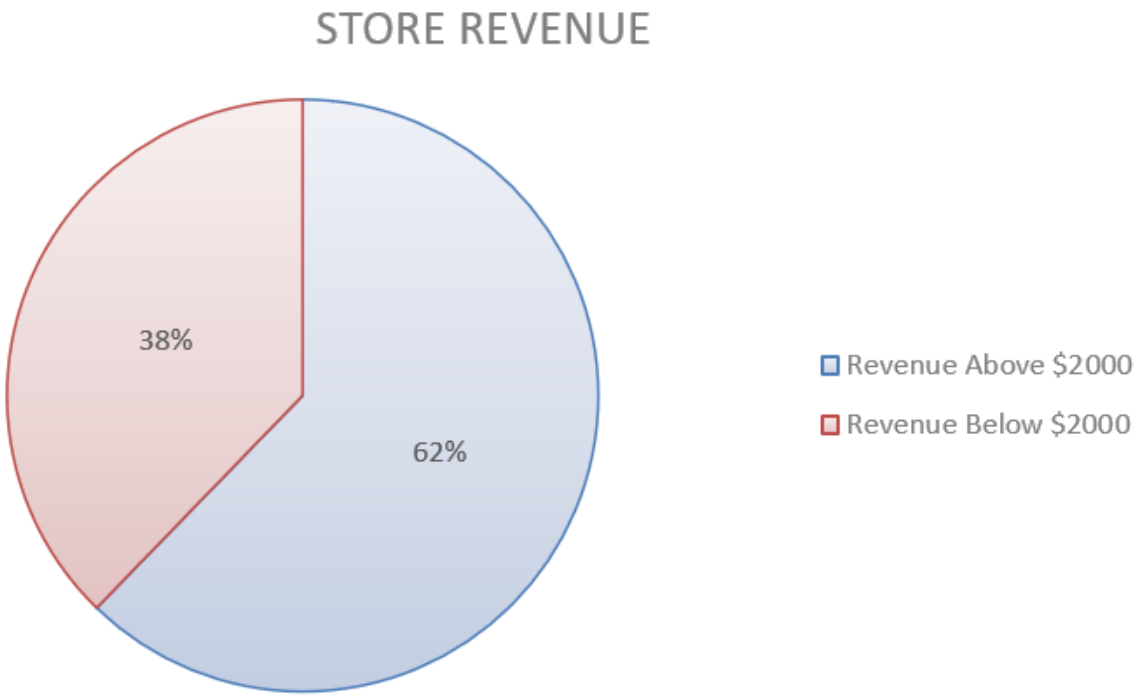
Strengths Continued

Store Performance

802 of active stores out of 1,288 - Generated over 2k in Brandy sales

Zero untapped counties - All counties served have Brandy sales

Active accounts – all sales are coming from active stores



Weakness

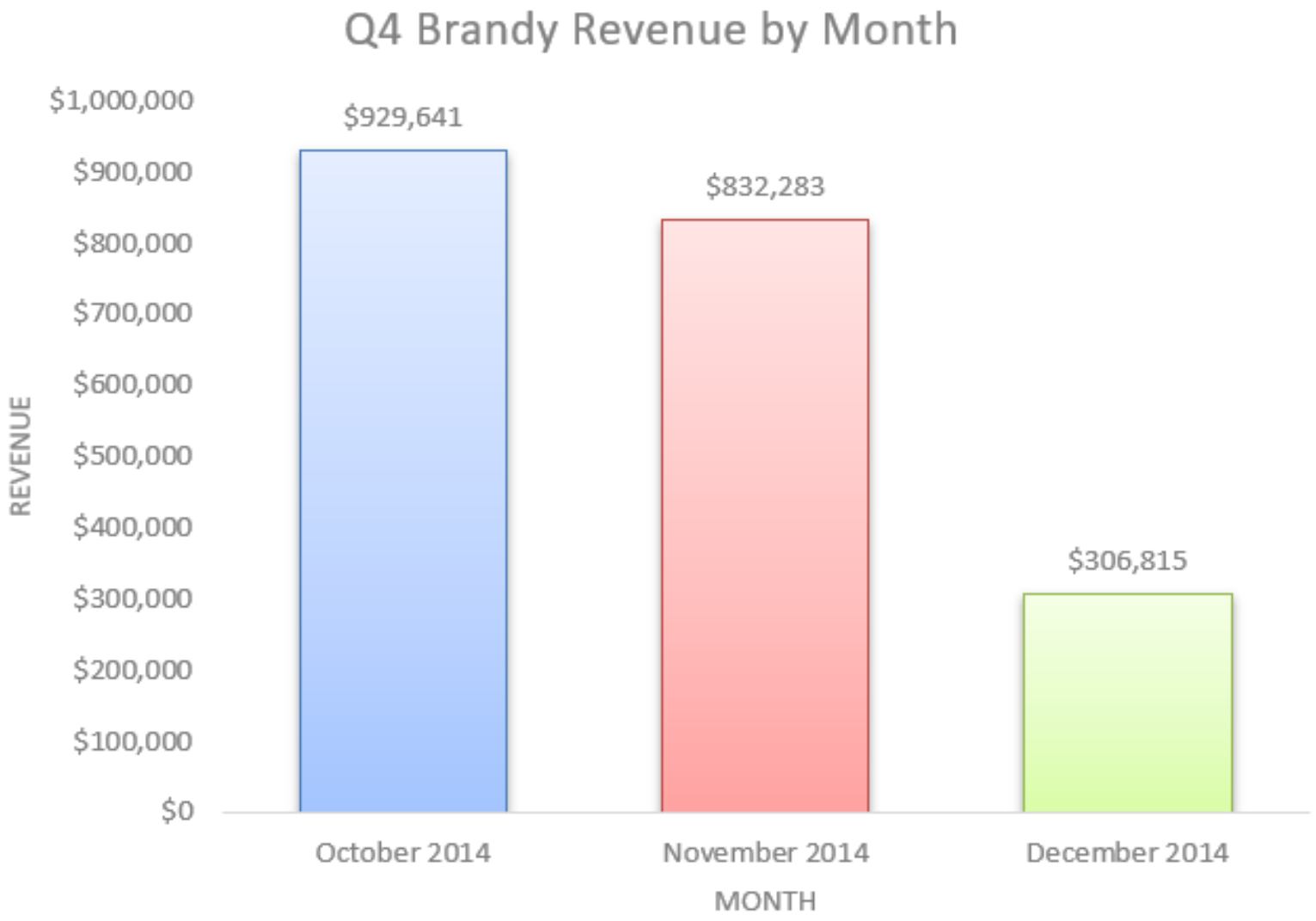
Top Months by Revenue

October generates the most revenue, not November or December around the holidays.

October - $929,641

December - $306,815

67% drop

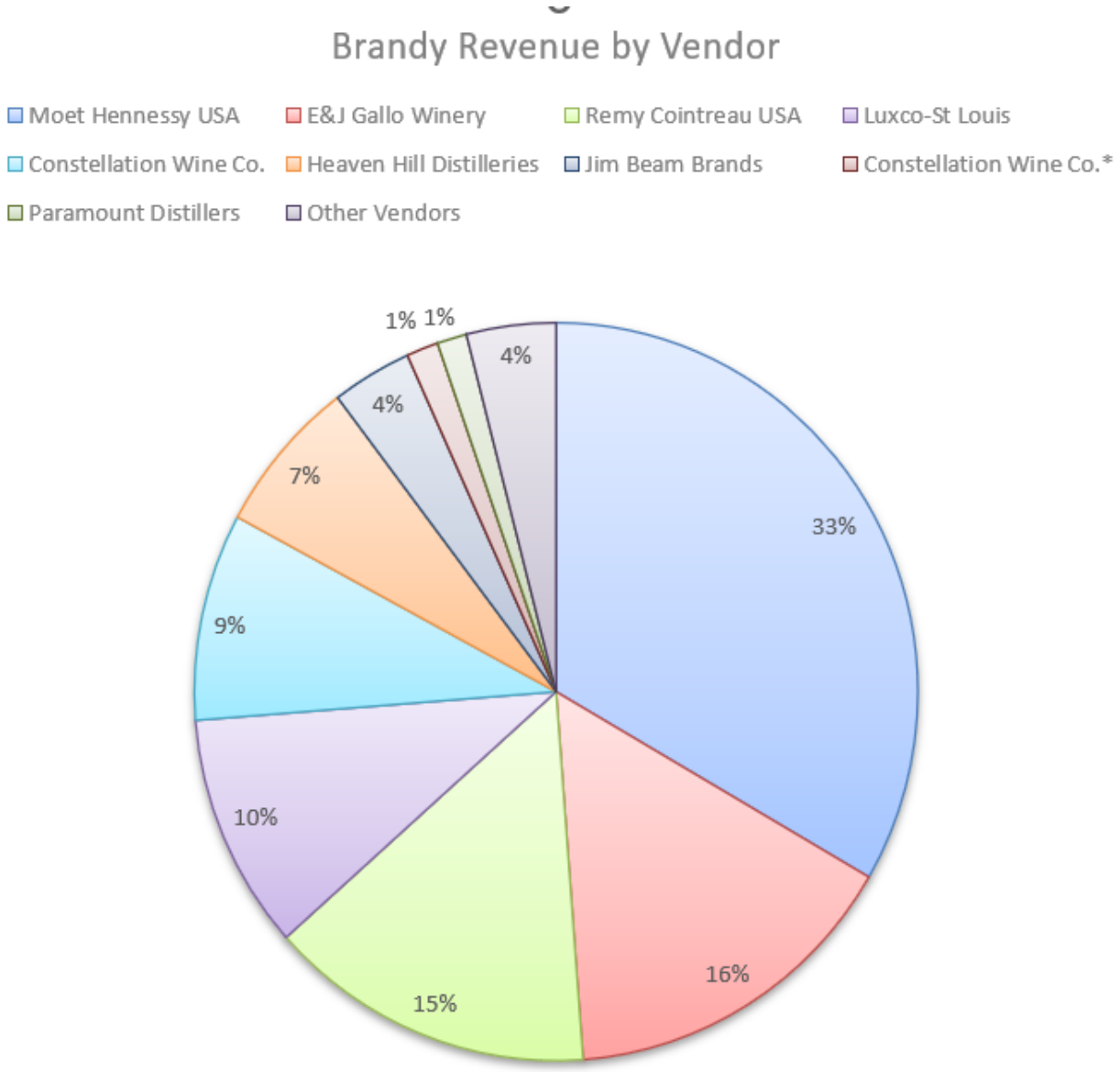


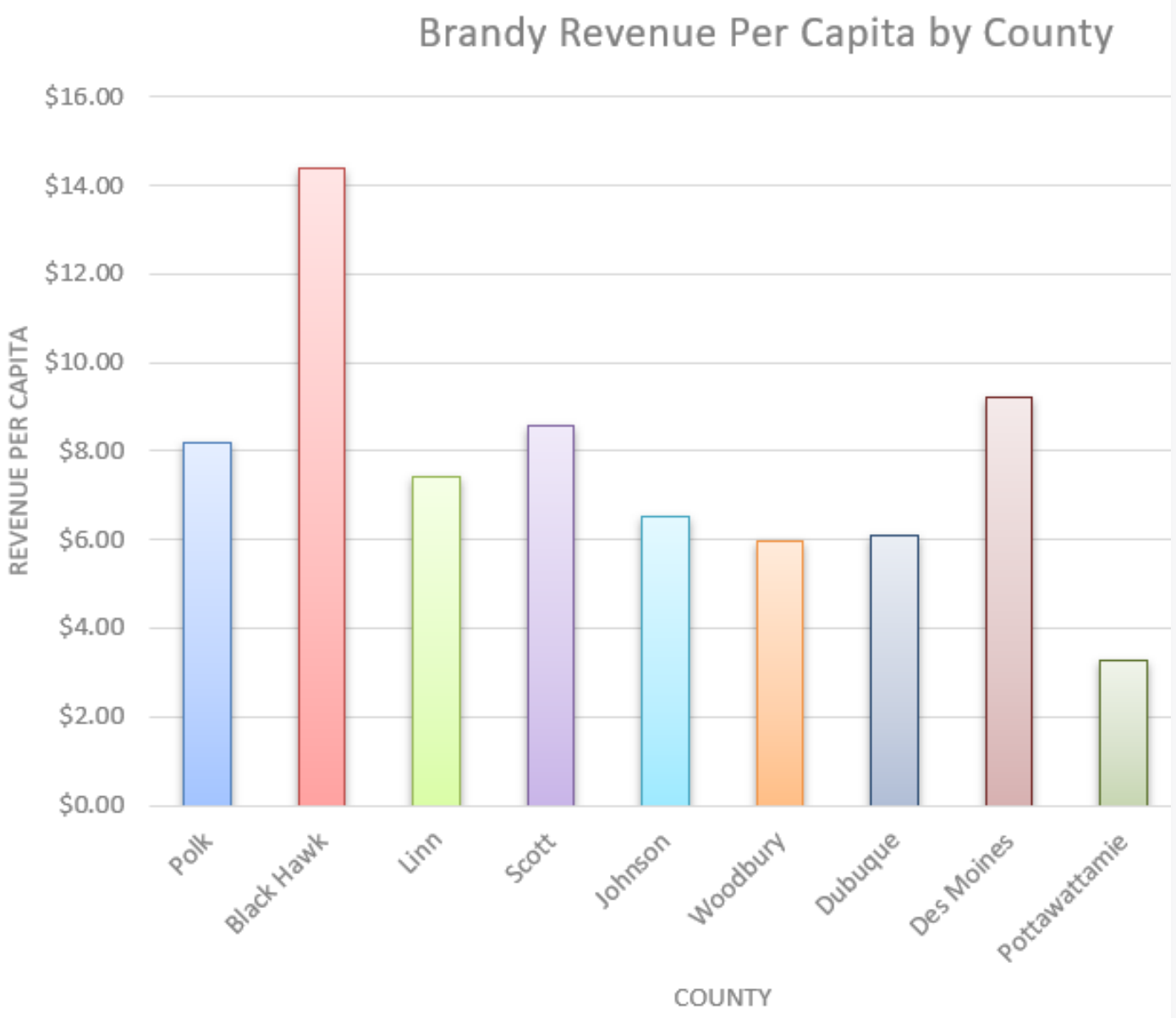
Weakness Continued

Vendor Revenue Concentration

Top vendor controls 33% of all brandy revenue in the state of Iowa.

The top three vendors together account for 63% of all brandy revenue.





Opportunities

Revenue per Capita

Black Hawk County

Population – 131,090

Revenue Per Capita - $14.40/person

Polk Couty

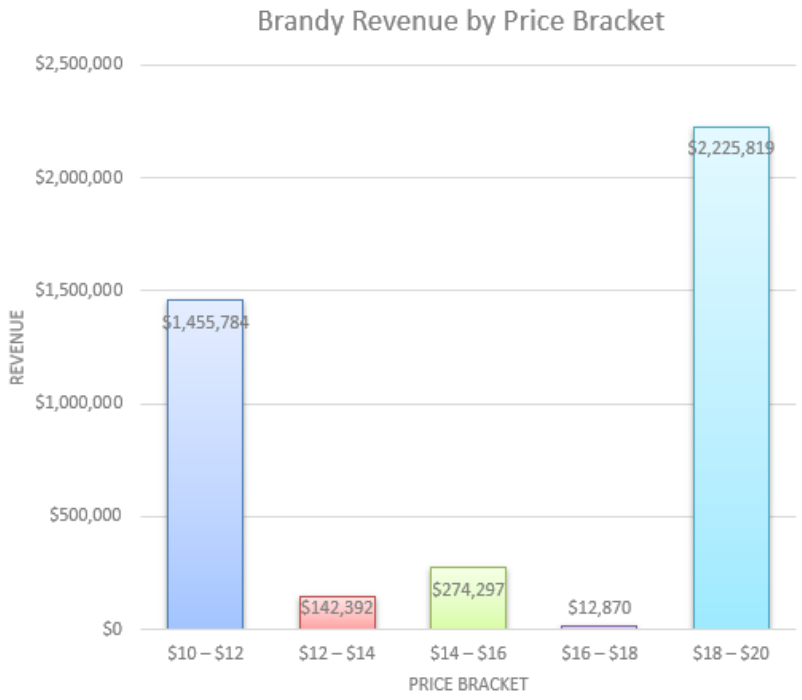
Population – 430,640

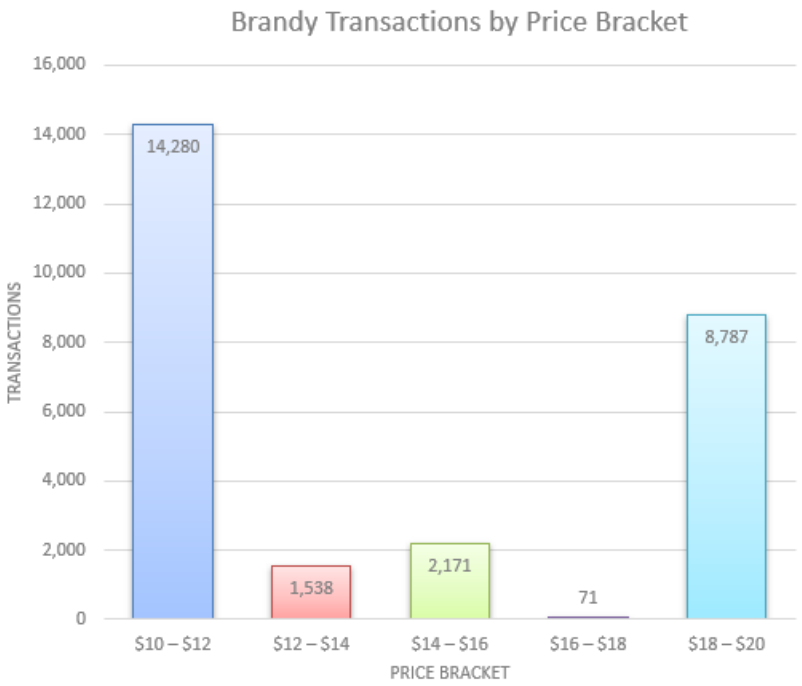
Revenue Per Capita - $8.19/person

Pottawattamie

Population – 93,158

Revenue Per Capita - $3.27





Opportunities Continued

Bottle Revenue and Transactions

$10-$12 bracket

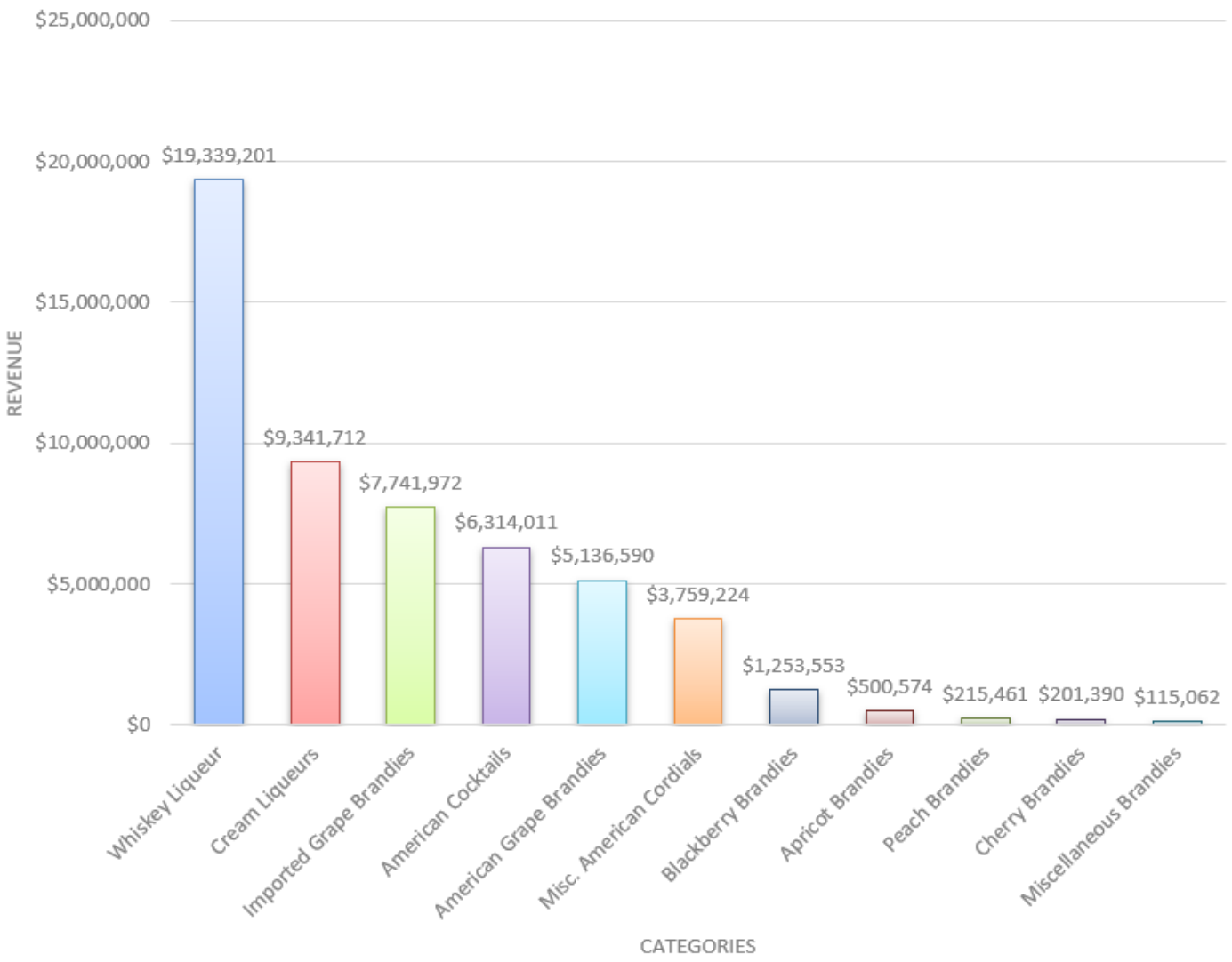
14,280 transactions

$1,4M in revenue

$18-$20 bracket

8,787 transactions

$2,2M in revenue



Threats

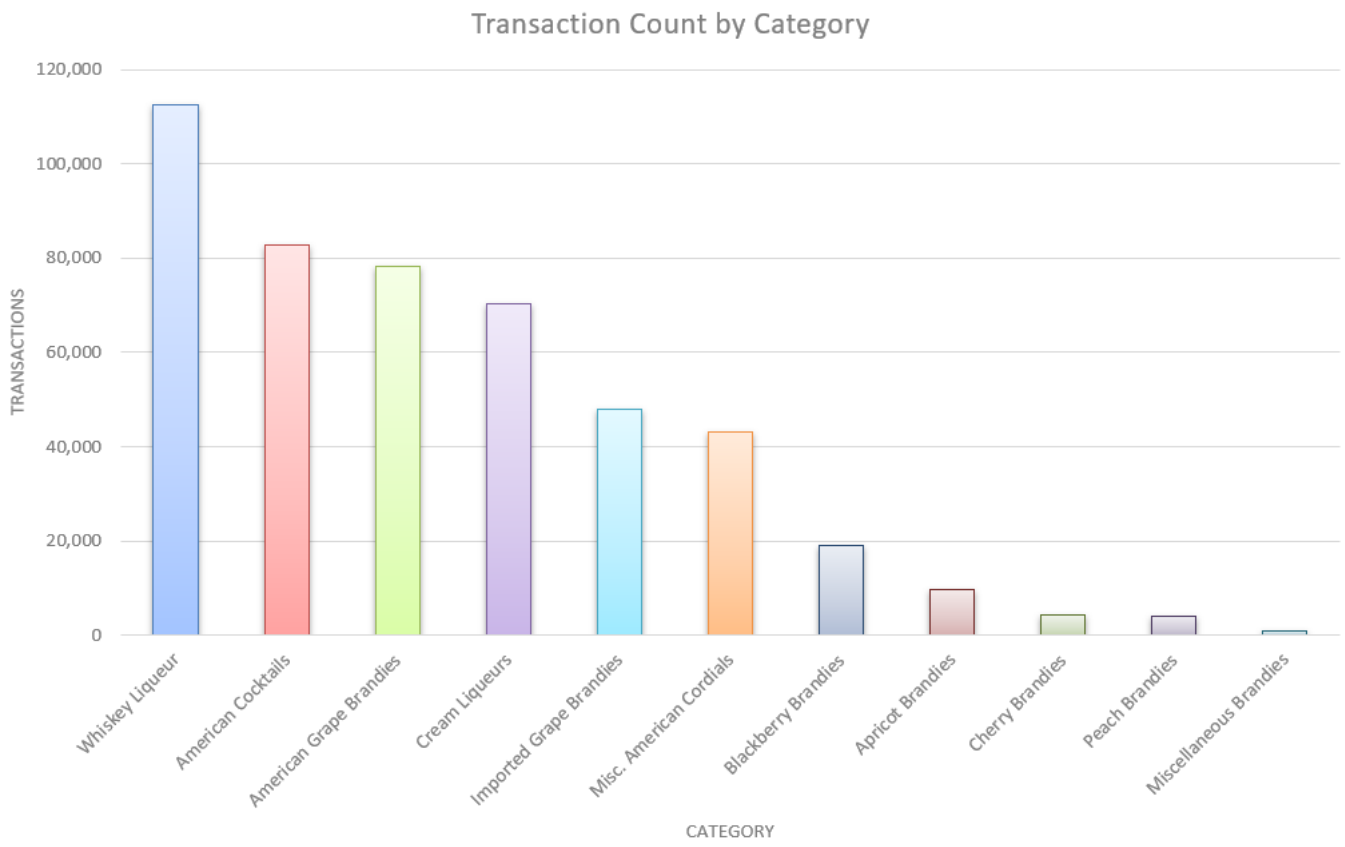
Competitor Revenue

19.3M(Whiskey Liqueur alone)

vs

15.1M(All Combined Brandy sub-categories)

Threats Continued



Competitor Transactions

112,655(Whiskey Liqueur alone)

vs

163,667(All Combined Brandy sub-categories)

Recommendations for Brands

- Promote before October hits
- Investigate counties like Black Hawk County where the average revenue per person is twice that of Polk county's at a fraction of the population
- Promote in Pottawattamie county where the average revenue per capita is $3.27
- Promote SKUs under premium price brackets
- Build relationships with mid tier vendors to diversify vendor base and reduce high tier vendor dependency
- Work on strengthening brand identity